

Strategy Group Interview Round

Case:

Supreme, the New York-founded streetwear label built on weekly "drops," red box logo scarcity, and a rotating cast of surprise collaborators (from Nike and The North Face to Louis Vuitton and even Oreo), turned limited supply into one of the most valuable brand strategies in modern retail. Its business model runs counter to almost every rule of conventional apparel retailing: intentionally under-produce, never restock, and let resale markets (StockX, GOAT, eBay) amplify the brand's cultural cachet. This scarcity engine, combined with an insider, "you're either in on it or you're not" attitude, built a cult following and command premiums of 5-10x retail on the secondary market.

Supreme was acquired by VF Corporation in 2020 for roughly \$2.1B, and then sold again in 2024 to EssilorLuxottica for about \$1.5B, a steep markdown that signaled investor skepticism about the brand's growth trajectory under corporate ownership. Throughout this period, Supreme has struggled to convert cult loyalty into sustained growth: drop fatigue has set in among longtime fans, resale prices on many items have softened, counterfeit product has proliferated, and a new generation of consumers has more options (Aimé Leon Dore, Corteiz, Chrome Hearts, and a wave of "quiet luxury" and gorpcore competitors) competing for the same cultural real estate that Supreme once owned outright.

The Challenge:

Supreme's new ownership wants the brand to become a durable, decade-spanning cultural institution rather than a fading 2010s hype phenomenon, without killing the scarcity and insider mystique that made it valuable in the first place. Supreme faces a genuine paradox: broadening its reach (more stores, more product, more markets, more accessible price points) is exactly the kind of move that has diluted comparable brands, while doing nothing risks irrelevance as the customer base ages out and no younger cohort fully replaces it. Your task is to develop a strategy that deepens Supreme's relevance with the newest generation of streetwear consumers, particularly college-age and just-post-college consumers who are culturally influential but were mostly too young to experience Supreme's 2012-2018 peak, without compromising the exclusivity that is the brand's core asset.

Your task is to propose innovative strategies that:

1. Increase Supreme's long-term engagement and relevance among Gen Z and the emerging "Gen Alpha" edge of streetwear consumers.
2. Leverage Gen Z's preferences for community-building, resale/investment culture, and authenticity over traditional advertising.
3. Highlight the unique value Supreme can bring to youth and campus culture, both physically (in-person drop culture, flagship stores) and digitally (resale apps, social platforms, gaming/digital fashion).

Ensure your ideas are creative, practical, and tailored to Gen Z's unique habits and desires, while explicitly addressing how to preserve scarcity value.

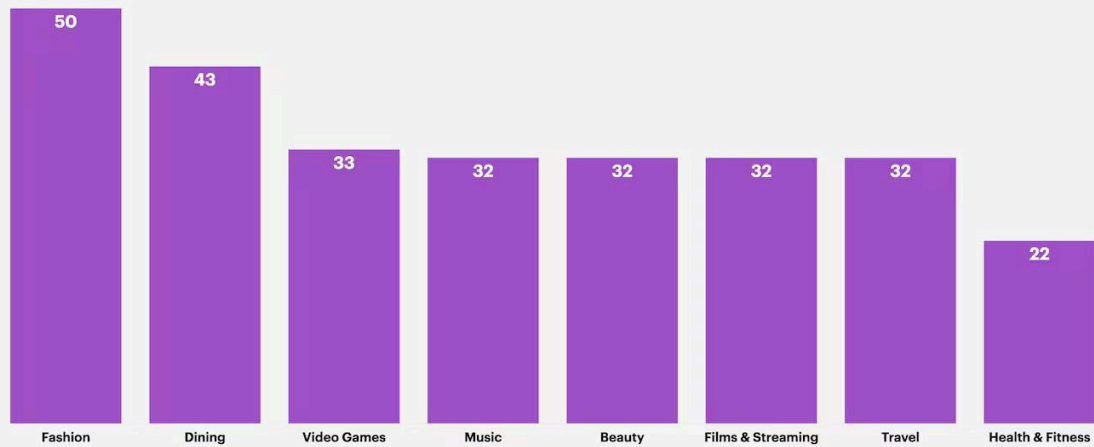
Questions:

1. Estimate the annual market size for premium/hype streetwear (apparel and accessories in the \$50-500+ per item range) purchased by U.S. college-age consumers (18-24). Consider different channels — direct-to-consumer drops, resale marketplaces, physical flagship/pop-up stores, and secondary "off-brand" collab merchandise — and how purchasing behavior and price sensitivity might differ across each.
2. What are the common trends among Gen Z students relevant to fashion, status, and community, and how can Supreme utilize this for a campaign? (Please refer to the charts provided)
3. What challenges and opportunities do you foresee if Supreme attempts to expand its relevance this way among college students, particularly given the risk of diluting scarcity value and the brand's history of two acquisitions in four years?
4. The CEO of Supreme (under EssilorLuxottica) asked you for a final summary of your team's findings and observations. Provide an overall recommendation and summarize what you've just discussed.

More American Gen-Zers enjoy spending money on fashion than any other entertainment category

Half of BoF Insights' proprietary panel of nearly 1,000 Gen-Zers ranked fashion as one of their top three entertainment categories

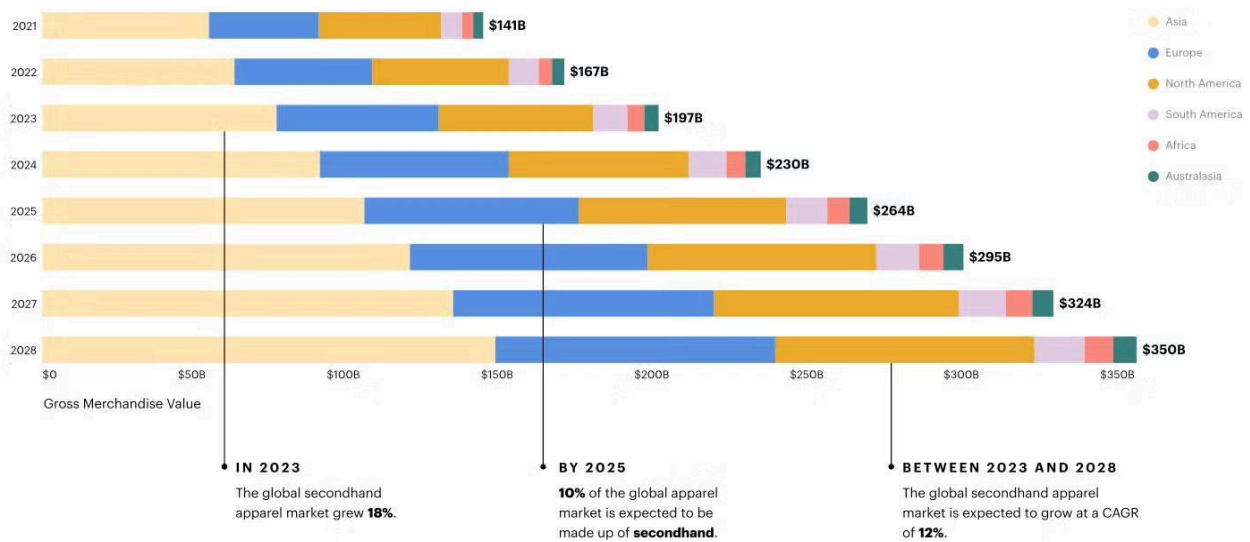
% of respondents from Gen-Z panel that placed category in top 3 favourites



Source: US Gen-Z Consumer Survey by BoF Insights and Juv Consulting, Sep 2022
Q: What are your favourite entertainment categories to spend money on?

BoF

Global Secondhand Apparel Market To Reach \$350 Billion by 2028, Growing 3X Faster Than Overall Global Apparel Market



GlobalData 2024 Market Sizing and Growth Estimates